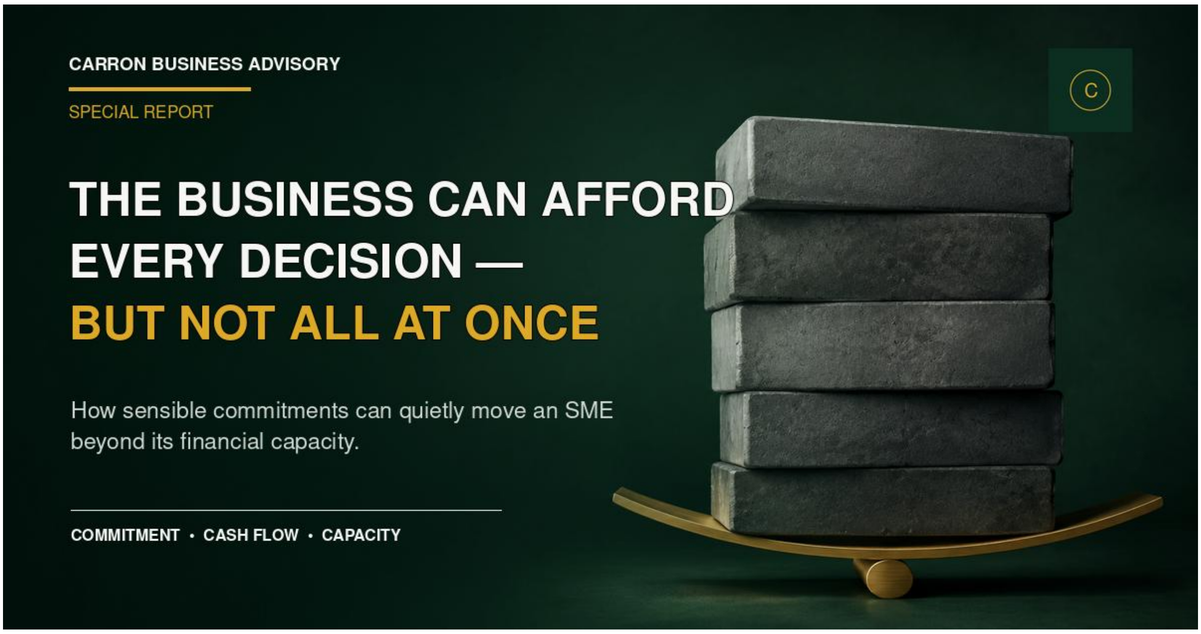

SEPTEMBER 2026 | EDUCATIONAL SME BUSINESS REPORT

General business and financial education only. Employment, finance, lease, tax and contractual consequences should be confirmed with appropriately qualified advisers.

Executive Summary

The next commitment should be tested against every commitment already made - not against the bank balance on the day it is approved.

A business may be able to pay each new monthly cost when it is considered alone. That does not establish that it can carry all the commitments together, particularly if expected revenue arrives late, margins are weaker than forecast or the cost cannot be reversed quickly.

The cumulative commitment test

Before approving another recurring cost, management should restate the total monthly run rate, the revised break-even sales level, the upfront cash requirement, the cash effect of a delay and the cost of getting out.

- Assess the full cost of each commitment, not only its quoted salary, rental or instalment.
- Use contribution margin to calculate the additional sales needed to cover the combined monthly cost.
- Stress-test the timing: profit expected later cannot fund payroll and instalments due now.

DECISION PRINCIPLE	**Approve the portfolio of commitments, not only the next item on the agenda.**

REPORT INDEX

Contents

A practical framework for seeing the combined financial effect of individually sensible decisions.

Page numbers include this Contents page.

The Business Can Afford Every Decision - But Not All at Once

The hidden risk is cumulative: commitments are approved separately but paid from the same cash flow.

Consider a business that approves a salesperson in January, a vehicle in February, additional software in March, a warehouse extension in April and equipment finance in May. Each decision may have a credible business case. Each may even fit comfortably into the bank balance when approved.

By June, however, the business has one larger fixed-cost base. The separate motivations no longer matter to the bank account. Salaries, rentals, licences and instalments must all be paid from the same operating cash flow, whether or not the expected sales have arrived.

1 The cost did not arrive all at once

SME commitments often accumulate through different people and at different times. Sales requests another employee. Operations needs a vehicle. Finance recommends software. The owner agrees to more space. Production replaces a machine. No single proposal appears large enough to trigger a full financial review.

This creates a decision-design problem. The business evaluates the marginal cost of the next item but does not restate the total cost of everything already approved. It asks, 'Can we afford R28,000 a month?' when the better question is, 'What will our complete monthly commitment be after this decision, and what must the business then produce to carry it?'

2 Separate approvals create one shared exposure

A department may be accountable for the benefit of its proposal, but the financial exposure belongs to the whole business. Several effects combine:

- The monthly break-even point rises before the expected revenue is certain.
- Upfront deposits, installation, recruitment and implementation absorb cash immediately.
- New capacity can require more stock, debtors, fuel, support and supervision.
- Contracts may continue even if the project, employee or customer does not perform as expected.

CFO TEST	**If management cannot state the total committed monthly run rate after approval, it has not completed the financial decision.**

Count the commitment, not merely the quoted price

The first number presented for approval is often only the most visible part of the cost.

3 Build the complete cost before testing affordability

The purpose is not to inflate every proposal until it becomes impossible. It is to prevent management from approving a partial number and later discovering the rest through the bank account.

COMMITMENT	VISIBLE PRICE	COSTS THAT MAY SIT BEHIND IT
Employee	Salary	Employer costs, recruitment, equipment, software, training, supervision and the time before full productivity
Vehicle	Instalment or lease	Deposit, insurance, fuel, maintenance, tyres, tracking, licences and replacement risk
Software	Monthly licence	Implementation, data migration, user licences, integrations, support, training and escalation clauses
Premises	Monthly rental	Deposit, fit-out, utilities, security, insurance, moving costs and contractual restoration obligations
Equipment	Purchase price or instalment	Installation, finance cost, maintenance, consumables, downtime, insurance and working capital

Separate three different numbers

A sound proposal should distinguish the cash needed before the commitment starts, the recurring monthly run rate and the total contractual exposure. These numbers answer different questions.

- Upfront cash tests whether the business can implement the decision without creating an immediate liquidity problem.
- Monthly run rate shows what must be funded repeatedly from operations.
- Total contractual exposure shows what remains payable if circumstances change.

Depreciation, tax deductions and accounting classifications may affect reported profit or tax, but they do not remove the need to understand the actual payment profile. The cash schedule should be established separately and confirmed where specialist treatment matters.

WORKED EXAMPLE

Five reasonable decisions - one different business

A fictional service and distribution SME illustrates how the cumulative effect can be missed.

The business currently has fixed monthly operating commitments of R800,000 and an average contribution margin of 35%. Its approximate break-even sales are therefore R2.286 million a month (R800,000 divided by 35%). Management then approves five initiatives over four months.

APPROVED COMMITMENT	MONTHLY COST	EXPECTED BENEFIT
Two employees	R75,000	More sales and operational capacity
Vehicle and operating costs	R22,000	Faster customer service and delivery
Software and support	R15,000	Better scheduling and information
Additional premises	R45,000	Space for expected volume
Equipment finance and upkeep	R28,000	Higher throughput
Combined increase	R185,000	Benefits depend on execution and timing

The revised break-even point

The new monthly fixed-cost base is R985,000. At the same 35% contribution margin, approximate break-even sales rise to R2.814 million. The business therefore needs about R529,000 of additional monthly sales simply to cover the R185,000 increase in recurring commitments.

CALCULATION	RESULT
Previous fixed monthly commitments	R800,000
Additional monthly commitments	R185,000
New fixed monthly commitments	R985,000
Contribution margin	35%
Previous break-even sales	R2.286 million
New break-even sales	R2.814 million
Additional monthly sales required	Approximately R529,000

This is an illustration, not a benchmark. The required sales depend on the business's own contribution margin, cost behaviour, payment timing and capacity to deliver.

DECISION PRINCIPLE	**A R185,000 monthly cost does not require R185,000 of sales. At a 35% contribution margin it requires about R529,000 of sales.**

Affordability depends on timing and reversibility

Annual profit can look adequate while the next three months remain dangerously tight.

4 Test when the benefit arrives

New commitments usually start on a known date. Their benefits do not. An employee may need several months to become productive. New premises may open before additional customers arrive. Equipment can be installed before orders convert. Software may initially slow the team while processes are redesigned.

In the worked example, a three-month delay in the expected benefit creates R555,000 of additional recurring cash outflow (R185,000 multiplied by three), before deposits, implementation costs or additional working capital. The project may still be worthwhile, but the business must be able to fund the gap deliberately.

Model three cases

CASE	ASSUMPTION	MANAGEMENT QUESTION
Expected	Revenue and benefit arrive on the planned date	Can normal operations fund the commitments and working capital?
Delayed	Benefit arrives three to six months later	What is the cash low point, and which facility or reserve covers it?
Underperformance	Only part of the expected benefit is achieved	Which cost can be reduced, paused or exited - and at what cost?

5 Reversibility changes the quality of the risk

Two commitments with the same monthly cost can carry very different risk. A service that can be cancelled on 30 days' notice is not equivalent to a five-year lease, financed vehicle or permanent employment decision. Management should record notice periods, settlement amounts, redeployment options and the operational consequences of exit before approval.

The strongest business case is not always the one with the highest projected return. When forecasts are uncertain, a slightly less efficient option with a shorter commitment or staged rollout may preserve more decision-making room.

MANAGEMENT TEST	**Ask not only, 'What do we gain if this works?' but also, 'What remains payable if it does not?'**

Make cumulative exposure visible before the next yes

The solution is a small commitment register and a repeatable approval test - not a complicated capital committee.

6 Maintain one commitment register

Record every approved but not yet fully reflected commitment in one place. This includes signed contracts, accepted offers, approved hires, pending installations and decisions that will begin charging in a future month. Remove an item only when it has been cancelled or is already fully incorporated into the current run-rate forecast.

- Monthly recurring cost and start date
- Upfront cash and payment dates
- Total contractual exposure and exit terms
- Expected operational benefit, value and timing
- Additional stock, debtors or support required
- Decision owner and post-implementation review date

7 Use four approval gates

GATE	QUESTION THAT MUST BE ANSWERED
1. Baseline	What are total commitments before this decision?
2. Combined effect	What will monthly run rate, upfront cash and break-even sales become?
3. Downside	Can the business fund a three- to six-month delay or partial result?
4. Exit	What can be stopped, when, at what cost and with what operational consequence?

8 Review what was promised after implementation

Approval should not be the end of the decision. Compare the actual cost, benefit and timing with the business case after 30, 60 or 90 days. Where the benefit has not appeared, decide whether to correct execution, revise the forecast, stop further phases or exercise an exit right. A commitment register becomes valuable when it drives these conversations, not when it becomes another spreadsheet nobody opens.

CFO TEST	**Every new recurring cost should have a named benefit, an owner, a measurement date and a downside response.**

CLOSING PERSPECTIVE

Good decisions still need to fit together

The discipline is not to stop investing; it is to understand the business created by the combined decisions.

An SME should hire, invest, expand and improve its systems when the commercial case supports doing so. Caution becomes useful only when it improves the decision. The problem is not recurring cost itself. The problem is approving recurring cost without recalculating the complete obligation it joins.

The practical sequence

Before the next commitment is approved, management should:

- Update the current monthly run rate and list every decision already approved but not yet visible in the accounts.
- Calculate the full upfront, monthly and contractual cost of the proposal.
- Recalculate break-even sales using an appropriate contribution margin.
- Model the cash effect if the expected benefit is delayed or only partly achieved.
- Record exit terms and decide when actual performance will be reviewed.

The bottom line

The most dangerous commitment is not necessarily the largest one. It may be the apparently manageable decision approved after several other manageable decisions, when nobody has paused to add them together.

FINAL DECISION RULE	**Do not approve the next recurring commitment until the combined run rate, break-even point, cash low point and exit cost are visible.**

Related reading

Can Your Business Afford to Grow? A financial decision framework for testing the cash, margin, capacity and timing behind a major growth decision.

Your Management Accounts Arrived. Now What? A practical method for turning monthly financial results into forward-looking judgement and action.

Our full-length articles and downloadable PDF reports are available on the Carron Business Advisory Insights page:

https://www.carron.co.za/insights

Important notice

Carron Creates Clarity

PRACTICAL TOOL

Cumulative Commitment Test

Complete this one-page review before management approves a new recurring commitment.

BUSINESS	DECISION SPONSOR	REVIEW DATE

1. Current position after all existing approvals

BASELINE	AMOUNT / ANSWER
Current monthly fixed commitments	R ________________
Approved but not yet in run rate / contribution margin	R _____________ / _____ %
Forecast cash low point and date	R _____________ / ___________

2. Proposed commitment

ITEM	VALUE	TIMING
Monthly recurring cost	R _________	Start: _________
Upfront cash requirement	R _________	Due: _________
Contract exposure / exit cost	R _________	Term: _________
Expected measurable benefit	R / KPI _____	From: _________

3. Combined position after approval

TEST	RESULT
New total monthly commitments	R ________________
Revised break-even monthly sales	R ________________
Three-month downside cash low point / funding source	R _________ / ___________

4. Decision

Approve / Stage / Defer / Reject Conditions: ____

Owner: ______________________ Review date: ______________________ Approval: ______________________

DECISION RULE	**No approval until the combined run rate, break-even sales, downside funding and exit cost have been recorded.**